will be awarded in the amounts requested, i.e., $1,960, $2,235, and $1,935. Sanctions are awarded jointly and severally against counsel and the plaintiff, and are to be paid within 30 days of notice of entry of the order.

12. 9:00 AM CASE NUMBER: C24-03268
CASE NAME: GILBERT BIGGS VS. CALIFORNIA GRAND CASINO
***HEARING ON MOTION FOR DISCOVERY COMPEL PLAINTIFF'S FURTHER RESPONSES TO SPECIAL INTERROGATORIES, DECLARATION OF ANAHIT TER-MAMBREYAN**
FILED BY: CALIFORNIA GRAND CASINO
****TENTATIVE RULING:****
See line 11.

13. 9:00 AM CASE NUMBER: C24-03268
CASE NAME: GILBERT BIGGS VS. CALIFORNIA GRAND CASINO
***HEARING ON MOTION FOR DISCOVERY COMPEL PLAINTIFF'S FURTHER RESPONSES TO FORM INTERROGATORIES, DECLARATION OF ANAHIT TER-MAMBREYAN**
FILED BY: CALIFORNIA GRAND CASINO
****TENTATIVE RULING:****
See line 11.

14. 9:00 AM CASE NUMBER: C25-00018
CASE NAME: MIKE ANDRADE VS. WALNUT CREEK FORD, INC.
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: WALNUT CREEK FORD, INC.
****TENTATIVE RULING:****
Plaintiff has filed a statement of non-opposition. Defendant's motion to compel arbitration of individual PAGA claims and stay other proceedings in the related case between the same parties (No. C24-01999) is **granted**.

15. 9:00 AM CASE NUMBER: MSC19-02043
CASE NAME: GARAVENTA VS AZARI
***HEARING ON MOTION IN RE: TO DIMISS**
FILED BY: AGL ENTERPRISES, LLC A CALIF LIMITED LIABILITY COMPANY
****TENTATIVE RULING:****

Before the Court is a motion by defendant AGL Enterprises, LLC to dismiss the first amended complaint against it. The Court also has before it a motion by defendant Mehrzad Azari to dismiss the second, third, and fourth causes of action of the first amended complaint (*see* Line 17). The Court addresses both motions in this ruling. For the reasons set forth, the motions to dismiss are **granted** as stated below.

Background

Plaintiff Silvio Garaventa filed a complaint initiating this action in 2019. The action arises out of business disputes between Garaventa and defendant Mehrzad Azari. The operative first amended complaint filed November 4, 2019 alleges that at that time, Garaventa and Azari each owned 50 percent of defendant Pine Hollow Enterprises, a corporation, and they were also each directors of

Pine Hollow. (FAC ¶¶ 1, 2.) Garaventa alleges he and Azari also each held 50 percent membership interests in the limited liability company defendant AGL Enterprises, LLC. (FAC ¶¶ 1, 2, 4.)

Pine Hollow operates a gas station, convenience store and car wash on property owned by AGL. (FAC ¶ 9.) Pine Hollow leased the property from AGL. (FAC ¶ 9.) Pine Hollow had an agreement with CMA, an entity owned by Azari, to manage Pine Hollow for a management fee with a bonus based on the net profits of Pine Hollow. (FAC ¶¶ 4, 13.)

Disputes arose between Garaventa and Azari over business decisions in the management of Pine Hollow and AGL, and in 2018, a third party director, defendant Kent Parr, was appointed to a one-year term as a director of Pine Hollow and a manager of AGL. (FAC ¶¶ 15-21.) Garaventa alleges Parr acted in concert with Azari and approved a large increase in CMA's compensation for managing Pine Hollow over Garaventa's objection. (FAC ¶¶ 20, 21.) (Parr was subsequently dismissed from the action without prejudice on November 12, 2021.)

AGL has not offered or obtained a new lease for the property from Pine Hollow or an extension of the existing lease. (FAC ¶ 28.) Plaintiff alleges breaches of the AGL operating agreement and breaches of fiduciary duty by Azari in the management of AGL and Pine Hollow, and Garaventa seeks an involuntary judicial dissolution of both entities. (FAC 1st-5th C/As.)

In the operative first amended complaint filed on November 4, 2019 ("FAC"), Garaventa alleges seven causes of action: (1) breach of fiduciary duty against Azari related to his management of Pine Hollow (1st C/A); (2) breach of fiduciary duty against Azari related to management of AGL (2nd C/A); (3) breach of contract, specifically the AGL operating agreement, against Azari, including Azari withholding distributions (3rd C/A); (4) judicial dissolution of AGL under California Corporations Code section 17707.3 against Azari, Parr, and AGL (4th C/A); (5) judicial dissolution of Pine Hollow under Corporations Code section 1800 against Azari, Parr and Pine Hollow (5th C/A); (6) appointment of a receiver over Pine Hollow and AGL (though the applicable defendants are not stated) (6th C/A); and (7) declaratory relief concerning increases in compensation to CMA by Pine Hollow, with no specific defendants identified (7th C/A).

In March 2020, Azari moved for an order compelling arbitration as to claims related to AGL. (3/13/2020 Mot. and MPA ISO Mot. to Compel Arb.) On July 16, 2020, the Court issued an order compelling arbitration of "all claims against defendant Azari related to nominal defendant" AGL pursuant to the arbitration provision of the operating agreement. (7/16/2020 Min. Order.) The claims proceeded to arbitration before the Honorable Brian C. Walsh (Ret.), who issued the Arbitrator's Final Award dated January 22, 2024 ("Final Award"). (Azari Decl. ISO MTD by AGL Exh. A; Azari Decl. ISO MTD by Azari Exh. A.)

Legal Standards for Dismissal under Code of Civil Procedure Section 581

Defendants make their motions to dismiss under Code of Civil Procedure section 581. Code of Civil Procedure section 581 contains a long list of circumstances under which the Court may dismiss an action, with or without prejudice as the statute provides. The list is explicitly nonexclusive: "The provisions of this section shall not be deemed to be an exclusive enumeration of the court's power to dismiss an action or dismiss a complaint as to a defendant." (Code Civ. Proc. § 581(m).)

A motion to dismiss may be granted where declarations in support of the motion show the action is barred by *res judicata*. (*Best v. Fitzgerald* (1947) 81 Cal.App.2d 965, 967.) (*See also Planning & Conservation League v. Castaic Lake Water Agency* (2009) 180 Cal.App.4th 210, 232 [when court cannot determine *res judicata* bars a complaint on a demurrer with a limited record, then "the party asserting the defense may attempt to establish [the facts] by a motion to dismiss supported by affidavits or in a trial [citations omitted]"].)

AGL also cites the Court's inherent authority to dismiss a complaint where the action is frivolous, a sham or fictitious if the record discloses there is no relief that can be granted to the plaintiff. (*Byer v. Arguello* (1950) 96 Cal.App.2d 92, 93; *Huang v. Hanks* (2018) 23 Cal.App.5th 179, 181-182.) This authority is limited. (*See Estrada v. Royalty Carpet Mills, Inc.* (2024) 15 Cal.5th 582, 601, 602.)

Analysis

A. The Motions and Opposition

Based on the Final Award, Azari moves to dismiss the second, third, and fourth causes of action against him, claims directed to him in his role with AGL, and AGL moves to dismiss all claims of the FAC alleged against AGL. Azari provides the Final Award, which required AGL to pay Garaventa $1,545,000 for the value of his interest in AGL. (Azari Decl. ISO MTD by AGL ¶ 2.) Azari was ordered to execute a promissory note (the "AGL Buyout Note") and security agreement in favor of Garaventa in that principal amount. After Garaventa notified Azari he would not challenge the Final Award, Azari began making payments to Garaventa pursuant to the Final Award and the AGL Buyout Note on February 1, 2024 and has made all subsequent payments due. (Azari Decl. ISO MTD by AGL ¶¶ 2-4; Azari Decl. ISO MTD by Azari ¶¶ 5, 6.) Azari presents evidence that Garaventa through his counsel has acknowledged that based on the Final Award and the execution of and commencement of payments under the AGL Buyout Note, Azari is now the 100% owner of AGL. (Azari Decl. ISO MTD by AGL ¶ 5 and Exhs. C and D; Azari Decl. ISO MTD by Azari ¶ 4 and Exh. C.)

In response to the motion, Plaintiff has filed only a brief declaration by his counsel Richard Bowles which indicates in the title it is filed "in support of combined opposition" to the Azari and AGL motions to dismiss. Plaintiff has not filed any opposition memorandum with legal authorities in response to either motion.

The Bowles Declaration is largely argument. The declaration does not dispute that the Final Award was issued, that Garaventa did not challenge the Final Award, that Azari executed the AGL Buyout Note and security agreement and has made the payments required thereunder to date, and that AGL is now owned solely by Azari. Garaventa's only argument in opposition to the dismissal motions is that there is an outstanding dispute between Garaventa and Azari related to AGL regarding a debt owed by AGL to Pine Hollow reflected in a $1 million promissory note dated December 7, 2022 executed by Azari on behalf of AGL in favor of Pine Hollow (the "AGL-Pine Hollow Note").

B. Dismissal Based on the Final Award

Though the information regarding the AGL-Pine Hollow Note is arguably not presented with admissible evidence, the existence of the AGL-Pine Hollow Note and the fact the principal balance of that note remains outstanding does not appear to be in dispute. The sole question before the Court then is whether the existence of the unsatisfied AGL-Pine Hollow Note prevents the Court from dismissing the claims alleged against Azari and AGL as requested in the motions. The Court holds it does not.

1. Legal Effect of Unconfirmed Arbitration Award

The absence of any legal authority contrary to the authority cited in support of the motions supports that Plaintiff concedes the authorities cited by defendants reflect the applicable law. In that regard, AGL cites Code of Civil Procedure section 1287.6 regarding the legal effect of an arbitration award. That statute provides: "An award that has not been confirmed or vacated has the same force and effect as a contract in writing between the parties to the arbitration." (Code Civ. Proc. § 1287.6.) Case law cited by AGL supports that an arbitration award, though unconfirmed, is given *res judicata* or claim preclusive effect and treated as "the equivalent to a final judgment." (*Bucur v. Ahmad* (2016) 244 Cal.App.4th 175, 185-186.) (*See also Thibodeau v. Crum* (1992) 4 Cal.App.4th 749, 759 and *Trollope v. Jeffries* (1976) 55 Cal.App.3d 816, 822-823, both cited and relied on by the Court in *Bucur* for the proposition stated as to the *res judicata* effect of an unconfirmed award.)

Garaventa does not contest that the finding in the Final Award and the argument in defendants' motions that he filed a counterclaim in the arbitration that asserted the same claims against Azari in the second, third, and fourth causes of action and against AGL that are alleged in the FAC. (Azari Decl. ISO MTD by AGL Exh. A [Final Award p. 2, para. 5 and p. 19 ["Garaventa's Counterclaim (which is the same as his Complaint) alleges the following causes of action: breach of fiduciary duty owed by Azari to Garaventa and AGL and its members (Corporations Code § 17704.09); breach of AGL Operating Agreement by Azari; (4) judicial dissolution of AGL pursuant to Corporations Code 17707.03; appointment of a receiver; and declaratory relief. Counterclaim, Ex. 1."].) Garaventa does not dispute that he elected not to contest or seek to vacate or modify the Final Award. Instead, since February 2024, he has accepted the benefits of the Final Award through the Azari note and security agreement granted to Garaventa to buy out his interest in AGL. The Bowles Declaration does not raise a factual or legal dispute that the Final Award, therefore, resolved the claims against Azari and AGL that the defendants seek to dismiss.

2. Relationship of the Final Award to the AGL-Pine Hollow Note

The Final Award determined a net asset value of AGL as of October 2019 and then calculated the buyout price under the AGL operating agreement for Garaventa's 50% interest in AGL. (Azari Decl. Exh. A [Final Award The Arbitrator made a finding in the Final Award that AGL owed two long term liabilities to Chase Bank secured by deeds of trust on its real property, with the loans totaling approximately $2.9 million as of October 2019. (Azari Exh. A [Final Award p. 15, 16, 28-29].) The Arbitrator also found that the Chase Bank loans were subsequently paid off through a personal loan made by Azari to AGL and a $1 million loan to AGL from Pine Hollow, the loan reflected in the AGL-Pine Hollow Note. (Azari Exh. A [Final Award p. 15].) Essentially, AGL substituted the creditors holding the Chase Bank debt used in determining the net asset value of AGL and the value of Garaventa's interest that Azari had to pay to buy out Garaventa's interest, which Azari is now paying through the AGL Buyout Note.

The effect of the Final Award on the AGL-Pine Hollow Note from the perspective of AGL and Garaventa is that AGL had a $1 million liability, 50% of which was owed indirectly by Garaventa based on his membership interest in AGL. Garaventa has been relieved of his 50% share of that liability through the Final Award and the purchase of his interest in AGL through the AGL Buyout Note. He admittedly is no longer a member of AGL, and he no longer holds an interest in AGL whose value would be diminished as a result of AGL's liability for the AGL-Pine Hollow Note. The AGL-Pine Hollow Note is a debt owed by AGL, an entity that is now, after the Final Award, wholly owned by Azari.

Pine Hollow's right to demand repayment and collect the outstanding balance of the AGL-Pine Hollow Note is an asset of Pine Hollow. Garaventa has an indirect 50% interest in the net amounts collected on the AGL-Pine Hollow Note as a 50% shareholder of Pine Hollow. Garaventa retains his claim to his share of the proceeds of the AGL-Pine Hollow Note through his shareholder interest in Pine Hollow and his causes of action against Pine Hollow in this action which were not resolved by the Final Award. Those claims may be addressed at least in part through the proposed wind up of Pine Hollow by the Receiver. The tentative ruling on the Receiver's wind up motion is issued concurrently at Line 16.

3. Mootness/Lack of Standing

"An issue becomes moot when some event has occurred which 'deprive[s] the controversy of its life.' [Citations omitted.]" (*Giraldo v. Department of Corrections & Rehabilitation* (2008) 168 Cal. App. 4th 231, 257.) The doctrine is based on the policy that courts should not normally render advisory opinions and will only decide "justiciable" controversies. (*Id.*) (*See also Center for Local Government Accountability v. City of San Diego* (2016) 247 Cal.App.4th 1146, 1157 ["The voluntary cessation of allegedly wrongful conduct destroys the justiciability of a controversy and renders an action moot unless there is a reasonable expectation the allegedly wrongful conduct will be repeated. [Citations omitted.]"].)

The Final Award explicitly addresses and resolves the breach of fiduciary duty and breach of the AGL operating agreement causes of action (2nd and 3rd C/As) against Azari related to AGL, in which AGL is a nominal defendant, as well as claims by Azari and AGL against Garaventa for Garaventa's alleged breach of fiduciary duty. (Azari Decl. ISO MTD by Azari Exh. A [Final Award pp. 32-36].) Further, the claim against Azari and AGL for judicial dissolution of AGL (4th C/A), for appointment of a receiver over AGL, and for declaratory relief have also been resolved by Azari's buyout of Garaventa's interest. The Bowles Declaration cites no legal authority or factual basis on which Garaventa can continue to maintain his claim for judicial dissolution or appointment of a receiver over AGL when he is no longer a member and has no ownership or other interest in AGL. The AGL-Pine Hollow Note is held by Pine Hollow as the payee, not Garaventa; Garaventa is not a creditor of AGL based on that note. Similarly, as a result of the buyout, there is no longer a contractual agreement or other relationship between Garaventa and Azari related to AGL or between Garaventa and AGL for which declaratory relief could be granted. (Code Civ. Proc. § 1060.)

Conclusion and Ruling

The Bowles Declaration presents no evidence or legal authority that Garaventa's claims against AGL and against Azari related to AGL asserted in the FAC were not fully and finally resolved in the Final Award and through the AGL Buyout Note issued and accepted by Garaventa pursuant to the Final Award. The opposition does not demonstrate that there are any unresolved issues remaining in the FAC's causes of action against AGL or against Azari related to AGL in the FAC. **The motions to dismiss are granted. The second, third, and fourth causes of action against Azari shall be dismissed, and AGL**

shall be dismissed from the action.

16. 9:00 AM CASE NUMBER: MSC19-02043
CASE NAME: GARAVENTA VS AZARI
***HEARING ON MOTION IN RE: ORDER AUTHORIZING RECEIVER TO WIND UP BUSINESS**
FILED BY: DONELL, STEPHEN
****TENTATIVE RULING:****

Parties to Appear to Address the Issues Stated Below

Before the Court is a second amended motion by the State Court Receiver Stephen Donell for an order authorizing the Receiver to wind up the business of defendant Pine Hollow Enterprises. For the reasons set forth, the motion is **granted, subject to** the terms and conditions set forth below.

Background

For the general case background, see Line 15 above.

As relevant to the Receiver's motion, defendant Mehrzad Azari made an *ex parte* application for appointment of a receiver over Pine Hollow on June 4, 2025. After hearings on June 4, 2025 and June 13, 2025, Azari's *ex parte* application was granted, and Stephen Donell was appointed as Receiver "with respect to, and to take possession. custody and control of, the going concern businesses operated by Pine Hollow located at 1024 Alberta Way, Concord, CA." (6/13/2025 Order.)

On August 28, 2025, the Receiver filed a motion for an order authorizing him to wind up the business of Pine Hollow. The Receiver subsequently filed an amended wind up motion on September 16, 2025.

On October 28, 2025, the parties and the Receiver filed their Stipulation to [sic] Order Authorizing Receiver to Wind Up Pine Hollow Enterprises, Inc. ("Wind Up Stipulation") which was approved by the Court's Order of the same date. Under the Wind Up Stipulation, the Receiver "is authorized to wind up Pine Hollow's business on such timeline as the Receiver in the exercise of his business judgment" and generally to take the actions the Receiver in his business judgment are reasonably necessary to wind up Pine Hollow, including giving notices to the gasoline product supplier and convenience store franchisor. The Court signed a concurrent order granting the *ex parte* application for approval of the Wind Up Stipulation and confirming the hearing on the Receiver's wind up motion would remain on calendar. (10/28/2025 Order.)

On November 7, 2025, the Receiver filed a second amended motion for order authorizing the wind up of Pine Hollow to reflect the developments in the case and the outstanding issues related to the wind up of Pine Hollow in light of the Wind Up Stipulation. The Court addresses that motion in this ruling.

Legal Background and Analysis of Issues in Dispute

" 'A receiver is an agent and officer of the court, and is under the control and supervision of the court. [Citations omitted.]' " *(Southern California Sunbelt Developers, Inc. v. Banyan Limited Partnership* (2017) 8 Cal.App.5th 910, 922.) (*See also City of Sierra Madre v. SunTrust Mortgage, Inc.* (2019) 32 Cal.App.5th 648, 656 ["A receiver is an officer of the court and is subject to the court's continuing control . . . ."]; Code Civ. Proc. § 568; Cal. R. Ct., Rule 3.1179.) The property subject to the receivership is under the Court's control and "continuous supervision." (*City of Santa Monica v.*